

HIGH OCTANE QUESTIONS

The gas war has raised many questions on policy, pricing, process and highlighted the absence of regulatory oversight

IS THE PRICE OF \$4.20 PER MMBTU RIGHT?

GOVERNMENT: Pricing of gas at \$4.20 was arrived at scientifically. RIL called for price quotes from existing power and fertiliser companies capable of consuming gas when available. Term sheets were signed and put up for approval of price by RIL to the Government which were finally approved by an EGOM in September 2007.

ADA GROUP: Bidding was from stranded customers with no fuel linkage buying high-priced fuel like naphtha. Price of \$4.2 is fixed and no indexation is available vis-a-vis global prices. Questions why pricing is in dollar when costs, revenues and subsidies are all in rupees. Suggests formula in favour of RIL as fall in crude price not available to consumers.

IS CAPEX RISE FROM \$2.47 BN TO \$8.8 BN RIGGED?

GOVERNMENT: No gold-plating in capital expenditure on gas fields. Charge betrays a lack of knowledge of business economics as inflating the expenditure does not benefit any stakeholder. The actual expenditure was subject to three audits including one by the Comptroller and Auditor General (CAG). The Director General of Hydrocarbons says its Independent Consultant P. Gopalakrishnan and Engineering Consultant Mustang validated the capex of Rs 45,000 crore.

ADA GROUP: Gold-plating will benefit RIL as the production sharing contract (PSC) allows it to recover all costs and government share gets diluted. Gopalakrishnan is on faculty of institute where Mukesh is chairman so there is conflict of interest. Mustang Engineering is advising RIL on other assignments. PSC is not studied. CAG does not audit private companies. Both Cabinet Secretary in August 2007 and Economic Advisory Council displayed concern over rising capex.

WILL GOVERNMENT LOSE IF GAS IT SOLD AT \$2.34?

RIL: If 80 mmscmd of gas from KG Basin is sold at \$4.20 per mmbtu, the net present value (NPV) of the Government's share over 15 years will be \$8.8 billion using a 6 per cent discount. If 40 mmscmd (RNRL 28 plus NTPC 12) is sold at \$2.34, the Government will earn just \$4.7 billion. The loss will be around Rs 20,000 crore in NPV terms.

ADA GROUP: No matter what the sale price -- \$2.34 or \$4.20 -- the government will get Rs 70,483 crore. For the relevant 40 mmscmd sale, Government royalty continues to be Rs 12,688 crore whether gas is sold at \$2.34 or \$4.20 per mmbtu as royalty is calculated on valuation price of \$4.20. Secondly profit from petroleum too will be based on valuation price and Government share continues to be Rs 57,795 crore at \$2.34 and \$4.20. So Government's take continues to be Rs 70,483 crore in either scenario.

and the Government stayed out. In fact the Government had consistently maintained in Parliament that the battle was a private one, saying that nothing stopped the contractors from marketing the gas. It did intervene in the Bombay High Court case to help the court understand the gas utilisation and pricing policy but was never a party to the litigation.

Cut to June 15. Anil was in Los Angeles with Spielberg to announce their joint productions when the Bombay High Court ruled in his favour by pronouncing that the MOU and its contents were binding on RIL and RNRL and that a suitable arrangement is necessary for the complete working of the scheme. In other words, a bankable agreement. The court also said the parties could approach the mother again to resolve issues. It also said that Anil Dhirubhai Ambani (ADA) Group may opt for claim of damages.

It was a game changer nobody quite expected, certainly not at RIL headquarters in Maker Chambers IV in Nariman Point nor the mandarins at the Ministry



YASBANT NEGI